

been invested instead. Let's put a cost on that kind of wasted money, and learn new ways to save a fortune for your retirement.

The average American regularly spends money automatically, unconsciously, on four common purchases: coffee, magazines, lunches, and alcohol. What I'm going to show you is how casually money is flushed down the toilet. And what a \$3-a-day Starbucks coffee could have been instead.

Let's start conservatively with some typical unconscious spending habits. Say you buy two magazines a month (\$10), you purchase coffee twice a week (\$6), you buy lunch once a week (\$10), and you go out for a couple of happy hour drinks on Fridays (\$10), because you call yourself a "social drinker."

Now, let's look at the approximate cost of these purchases over ten years—if the cost never goes up—with 4 percent compounded interest.

		SUBTOTAL (Compounded)	WITH 4% INTEREST (Rounded Off)	TOTAL
Coffee	\$6/week for 10 years	3,120	800	3,920
Magazines	\$10/month for 10 years	1,200	300	1,500
Lunch	\$10/week for 10 years	5,200	1,300	6,500
Alcohol	\$10/week for 10 years	5,200	1,300	6,500
Grand Total		14,720	3,700	18,420

Ten years of unconscious spending on just those four items killed \$18,420—money that should have been invested, which even at a conservative interest rate would have generated a small fortune. I look at that total and actually feel sad about the loss. Ghost Money is a sad thing. If this looks familiar to you and you can see in this your own poor spending habits, I hope the loss is haunting you. It should be. But maybe \$18,420 isn't a significant enough figure to scare you awake.